

**Time:** 5 minutes**Outcome:** Interpret Competitive Efficiency & Model Limits.**Difficulty:** ●●● Advanced

Competitive Efficiency & Model Limits



THE CORE IDEA

With price-taking firms and no market failures, price equal to marginal cost gives allocative efficiency: the last unit's value equals its cost. Production at minimum average total cost (ATC) gives productive efficiency. Free entry and exit can deliver both in long-run competitive equilibrium.



HOW TO RECOGNIZE IT

- Allocative efficiency compares price with marginal cost.
- Productive efficiency requires minimum ATC.
- Check whether private benefits and costs capture all social effects.

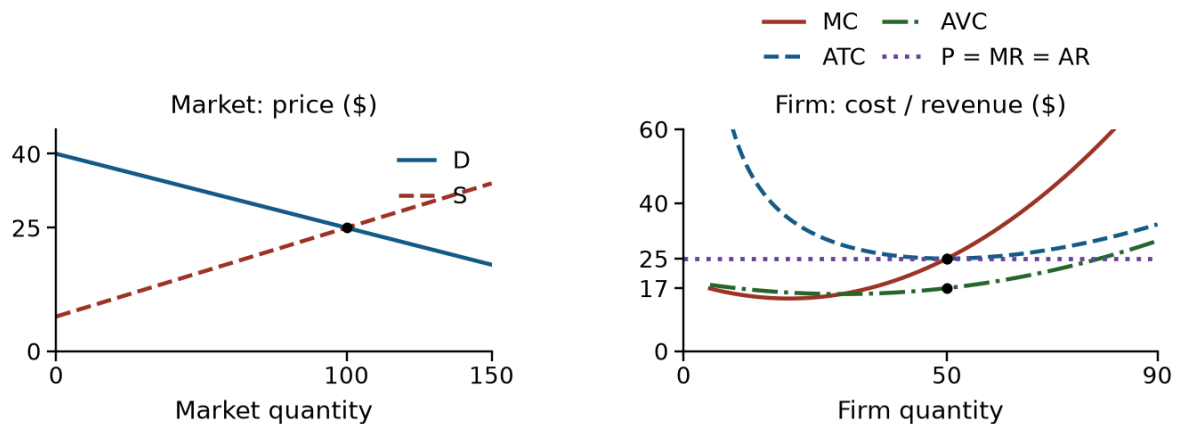


WATCH OUT

The competitive efficiency result assumes prices reflect social marginal benefits and costs. Externalities, market power, or incomplete information can break that connection.



WORKED EXAMPLE: TESTING COMPETITIVE EFFICIENCY



At the long-run competitive outcome, the firm produces 50 units where price equals marginal cost and price also equals minimum ATC at \$25. $P = MC$ gives allocative efficiency, while production at minimum ATC gives productive efficiency. These conclusions depend on the competitive model's assumptions.



CHECK YOURSELF

Why does price equal to marginal cost indicate allocative efficiency only when private benefits and costs reflect social benefits and costs?

**READY?**

Return to the game and master this concept.